

Breakout direction, confirmation. Price always breaks out upward from a big W. If it doesn't, then you don't have a big W. A breakout occurs when price closes above the hill between the two bottoms. In [Figure 7.2](#), that would be a close above C, which I show as a horizontal line at E.

Price confirms the big W as a valid chart pattern when it closes above C. Again, if you don't have confirmation, then you don't have a big W.

Duration. I did not set a minimum or maximum width between the two valleys. They ranged from a very narrow 4 days to 260 days. I looked at the 4-day pattern, and it looks fine.

Focus on Failures

[Figure 7.3](#) shows what the failure of a big W to perform looks like. The big W is at ACB, with A and B being the bottoms and C being the hill between the bottoms. Price drops from H in a long and steep move to the first bottom. The stock confirms the pattern as valid at D, where it closes above the horizontal line drawn from the high at C.

Price spikes higher at E, but closes the trading day near the bottom of the price bar, at F. That close is below the lower of the two bottoms (A). The breakout from this big W was upward (at D), but price reversed and closed below the bottom of the big W, busting the upward breakout.